Zebra Technologies
Second Quarter 2019 Results

July 30, 2019

Innovating at the edge since 1969

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company’s forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company’s estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra’s industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra’s hardware and software products and competitors’ product offerings, and the potential effects of technological changes. The continued uncertainty over future global economic conditions, the availability of credit, capital markets volatility, may have adverse effects on Zebra, its suppliers and its customers. In addition, a disruption in our ability to obtain products from vendors as a result of supply chain constraints, natural disasters or other circumstances could restrict sales and negatively affect customer relationships. Profits and profitability will be affected by Zebra’s ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions will also have an impact on results. Foreign exchange rates will have an effect on financial results because of the large percentage of our international sales. The outcome of litigation in which Zebra may be involved is another factor. The success of integrating acquisitions could also affect profitability, reported results and the company’s competitive position in it industry. These and other factors could have an adverse effect on Zebra’s sales, gross profit margins and results of operations. Descriptions of the risks, uncertainties and other factors that could affect the company’s future operations and results can be found in Zebra’s filings with the Securities and Exchange Commission. In particular, please refer to Zebra’s latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

Agenda

01 Q2 Highlights
Anders Gustafsson, CEO

02 Q2 Financials and 2019 Outlook
Olivier Leonetti, CFO

03 Progress on our Enterprise Asset Intelligence Vision
Anders Gustafsson, CEO

04 Q&A
Anders Gustafsson, CEO | Olivier Leonetti, CFO | Joe Heel, SVP Global Sales

2Q19 Highlights

+8.4%	21.2%	$3.02	Profitect Inc.
NET SALES GROWTH	ADJUSTED EBITDA MARGIN	NON-GAAP DILUTED EPS	ACQUISITION
+7.0%[1] Organic	+150bps YOY Improvement	+21.8% from 2Q18	Transaction closed May 31, 2019

[1] Assumes constant FX to prior year period and excludes revenue from acquisitions closed within the past 12 months

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Second-Quarter P&L Summary[1]

In millions, except per share data	2Q19	2Q18	Growth
Net Sales	$1,097	$1,012	+8.4%
Organic Net Sales Growth[2,3]			+7.0%
Adjusted Gross Profit	$523	$473	+10.6%
Adjusted Gross Margin	47.7%	46.7%	+100 bps
Adjusted EBITDA	$233	$199	+17.1%
Adjusted EBITDA Margin	21.2%	19.7%	+150 bps
Non-GAAP Diluted EPS	$3.02	$2.48	+21.8%

SEGMENT ORGANIC SALES GROWTH[2,3]

- EVM Segment +9.2%
- AIT Segment +2.9%

REGIONAL ORGANIC SALES GROWTH[2,3]

- North America +7%
- EMEA +9%
- Asia Pacific +7%
- Latin America 0%

EBITDA IMPROVEMENT

- Higher gross profit margin
- Lower operating expense as a percent of sales

STRONG EPS GROWTH

(1) Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results
(2) Assumes constant FX to prior-year period
(3) Excludes revenue from acquisitions closed within the past 12 months

Balance Sheet and Cash Flow Highlights

Cash Flow

- $165M free cash flow 1H19
- Higher use of working capital primary driver of $68M lower free cash flow vs 1H18
- Net borrowings of $125M in 1H19 as the company funded the acquisitions of Temptime and Profitect, and venture investments

Liquidity and Debt

- $27M in cash & cash equivalents as of 2Q19
- $1.7B total debt on balance sheet as of 2Q19
- Net-debt-to-adjusted-EBITDA ratio of 1.8x (Target range:1.5x - 2.5x)

New $1 Billion Share Repurchase Authorization

Outlook

3Q19

- Net sales growth 3-5% assumes ~ 2 percentage point additive impact from recently acquired businesses(1,2,3) and ~ 1 percentage point negative impact from FX
- Adjusted EBITDA margin range ~ 22%
- Adjusted diluted EPS range $3.15 to $3.35

FY19 ASSUMPTIONS

- Net sales growth of 5-8% vs. FY18; assumes ~ 2 percentage point additive impact from recently acquired businesses(1,2,3), and approximately ~ 1 percentage point negative impact from FX
- Adjusted EBITDA margin ~ 22%
- Free cash flow of at least $625M
- Capital expenditures ~ 1.5% of sales
- Depreciation ~ $75-77M and Amortization ~ $102-104M
- Stock-based compensation expense $50-60M
- Pre-tax cost of debt ~ 4%
- Non-GAAP tax rate ~ 16% to 17%
- Includes Sec 301 List 1-3 Tariffs @ 25% on certain scanners, components, and accessories manufactured in China
  - Mitigating the impact through:
    - Different sources of supply
    - Supply chain moves
    - Targeted price adjustments

(1) Xplore Technologies acquired on August 14, 2018
(2) Temptime Corporation acquired on February 21, 2019
(3) Profitect Inc. acquired on May 31, 2019

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Zebra Enables Enterprise Asset Intelligence

Recent investments/M&A advance our vision

Act Direct Best Next Move	PROFITECT · XPLORE
Developer Ecosystem	
Analyze Real-Time Analytics	PROFITECT · ZEBRA SAVANNA™ Data Intelligence Platform · Savanna Data Services
Sense Status | Condition | Location	Temptime® Improving Global Health

Enabling Visibility at the Enterprise Edge

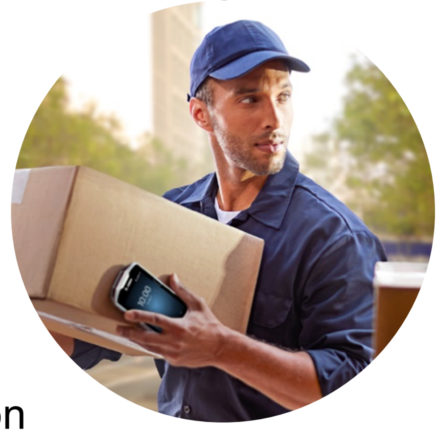
Healthcare

Megatrends

- IoT
- Enterprise Mobility
- Cloud Computing
- Intelligent Automation
- On-Demand Economy

Other Markets

Manufacturing



Transportation and Logistics

Retail and Ecommerce

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Q & A

Appendix

Use of Non-GAAP Financial Information

This press release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra's operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year period. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation

	Three Months Ended		
	June 29, 2019		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	5.4%	10.0%	8.4%
Adjustments:			
Impact of foreign currency translation[1]	1.0%	1.1%	1.1%
Impact of acquisitions [2]	(3.5)%	(1.9)%	(2.5)%
Organic Net sales growth	2.9%	9.2%	7.0%

	Six Months Ended		
	June 29, 2019		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	3.4%	11.7%	8.7%
Adjustments:			
Impact of foreign currency translation[1]	1.0%	1.0%	1.0%
Impact of acquisitions [2]	(2.4)%	(2.3)%	(2.3)%
Organic Net sales growth	2.0%	10.4%	7.4%

(1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, rather than the exchange rates in effect during the current period. In addition, we exclude the impact of the company's foreign currency hedging program in the prior year periods.

(2) For purposes of computing Organic Net sales, amounts directly attributable to the Xplore acquisition (included in our consolidated results beginning August 14, 2018), the Temptime acquisition (included in our consolidated results beginning February 21, 2019), and the Profitect acquisition (included in our consolidated results beginning May 31, 2019) will be excluded for twelve months following the acquisition date.

GAAP to Non-GAAP Gross Margin Reconciliation

	Three Months Ended					
	June 29, 2019			June 30, 2018		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales	$ 370	$ 727	$ 1,097	$ 351	$ 661	$ 1,012
Reported Gross profit (1)	182	340	520	173	299	472
Gross Margin	49.2%	46.8%	47.4%	49.3%	45.2%	46.6%
Non-GAAP						
Adjusted Net sales	$ 370	$ 727	$ 1,097	$ 351	$ 661	$ 1,012
Adjusted Gross profit (2)	183	340	523	173	300	473
Adjusted Gross Margin	49.5%	46.8%	47.7%	49.3%	45.4%	46.7%

	Six Months Ended					
	June 29, 2019			June 30, 2018		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales	$ 727	$ 1,436	$ 2,163	$ 703	$ 1,286	$ 1,989
Reported Gross profit (1)	366	658	1,021	356	581	937
Gross Margin	50.3%	45.8%	47.2%	50.6%	45.2%	47.1%
Non-GAAP						
Adjusted Net sales	$ 727	$ 1,436	$ 2,163	$ 703	$ 1,286	$ 1,989
Adjusted Gross profit (2)	367	659	1,026	356	583	939
Adjusted Gross Margin	50.5%	45.9%	47.4%	50.6%	45.3%	47.2%

(1) Fiscal 2019 consolidated results include corporate eliminations related to business acquisitions that are not reported in segment results.
(2) Adjusted Gross profit excludes purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

	Three Months Ended		Six Months Ended	
	June 29, 2019	June 30, 2018	June 29, 2019	June 30, 2018
Net income	$ 124	$ 70	$ 239	$ 179
Adjustments to Cost of sales(1)				
Purchase accounting adjustments	2	—	3	—
Share-based compensation	1	1	2	2
Total adjustments to Cost of sales	3	1	5	2
Adjustments to Operating expenses(1)				
Amortization of intangible assets	30	23	58	46
Acquisition and integration costs	4	—	8	2
Legal Settlement	—	13	—	13
Share-based compensation	17	16	29	26
Exit and restructuring costs	1	1	2	5
Total adjustments to Operating expenses	52	53	97	92
Adjustments to Other expenses, net(1)				
Amortization of debt issuance costs and discounts	1	8	2	10
Investment (gain) loss	(4)	(1)	(3)	(1)
Foreign exchange loss	1	4	4	4
Forward interest rate swaps loss (gain)	15	(6)	23	(18)
Total adjustments to Other expenses, net	13	5	26	(5)
Income tax effect of adjustments(2)				
Reported income tax expense	5	30	21	54
Adjusted income tax	(32)	(24)	(63)	(49)
Total adjustments to income tax	(27)	6	(42)	5
Total adjustments	41	65	86	94
Non-GAAP Net income	$ 165	$ 135	$ 325	$ 273
GAAP earnings per share				
Basic	$ 2.28	$ 1.31	$ 4.43	$ 3.35
Diluted	$ 2.26	$ 1.29	$ 4.37	$ 3.30
Non-GAAP earnings per share				
Basic	$ 3.06	$ 2.51	$ 6.02	$ 5.10
Diluted	$ 3.02	$ 2.48	$ 5.95	$ 5.04
Basic weighted average shares outstanding	54,027,576	53,537,876	53,965,181	53,414,267
Diluted weighted average and equivalent shares outstanding	54,648,699	54,255,707	54,602,372	54,134,110

(1) Presented on a pre-tax basis.

(2) Represents adjustments to the GAAP income tax expense commensurate with pre-tax non-GAAP adjustments and to exclude the impacts of certain discrete income tax items.

GAAP to Non-GAAP EBITDA Reconciliation

	Three Months Ended		Six Months Ended	
	June 29, 2019	June 30, 2018	June 29, 2019	June 30, 2018
Net income	$ 124	$ 70	$ 239	$ 179
Add back:				
Depreciation	18	20	37	40
Amortization of intangible assets	30	23	58	46
Total Other expenses, net	31	25	59	36
Income tax expense	5	30	21	54
EBITDA (Non-GAAP)	208	168	414	355
Adjustments to Cost of sales				
Purchase accounting adjustments	2	—	3	—
Share-based compensation	1	1	2	2
Total adjustments to Cost of sales	3	1	5	2
Adjustments to Operating expenses				
Acquisition and integration costs	4	—	8	2
Legal Settlement	—	13	—	13
Share-based compensation	17	16	29	26
Exit and restructuring costs	1	1	2	5
Total adjustments to Operating expenses	22	30	39	46
Total adjustments to EBITDA	25	31	44	48
Adjusted EBITDA (Non-GAAP)	$ 233	$ 199	$ 458	$ 403
Adjusted EBITDA % of Adjusted Net Sales	21.2%	19.7%	21.2%	20.3%

GAAP to Non-GAAP Free Cash Flow Reconciliation

	Six Months Ended	
	June 29, 2019	June 30, 2018
Net cash provided by operating activities	$ 195	$ 266
Less: Purchases of property, plant and equipment	(30)	(33)
Free cash flow (Non-GAAP)[1]	$ 165	$ 233

(1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.